

ECONOMIC DECISION-MAKING AND EVERYDAY CHOICES

PATHWAYS TO ARTS & HUMANITIES SUMMER SCHOLARS PROGRAM

Instructor: Tudor Schlanger

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INTRODUCTIONS

A few things about me:

1. **Name:** Tudor
2. **Where you are studying:** Yale University
3. **One thing you like about Yale:** Walking on Hillhouse Avenue

Your turn!

OUTLINE

1. What Is Economics?

2. Opportunity Cost

3. Sunk Costs

4. Policy Debate: Cell Phone Ban

5. Recap

WHAT DO ECONOMISTS STUDY?

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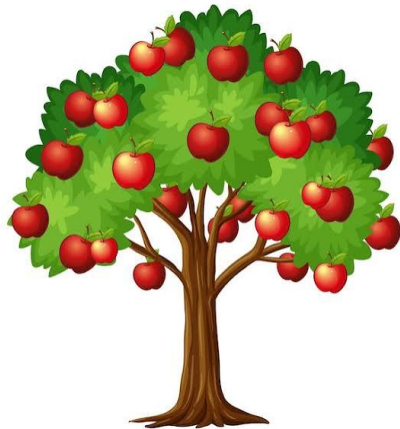


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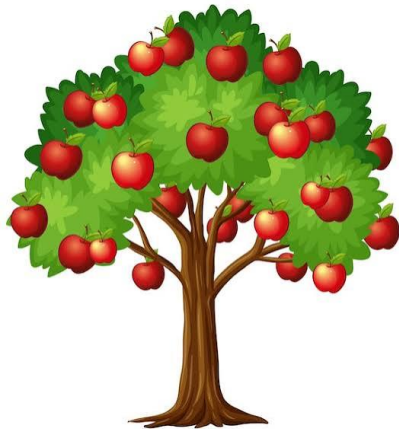


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- Environment
- Health care
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Do all these fall under the definition above?

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SCARCITY CREATES TRADE-OFFS

A key part of economics is about studying **trade-offs**:

- What do you **gain** with each decision?
- What do you **give up**?

Every decision—from what to eat for lunch to how a government spends billions—comes with **costs** and **benefits**.

We will consider two costs that economists use all the time:

1. Opportunity Cost
2. Sunk Cost



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What is value?

Monetary



Non-monetary



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What is the next best alternative?



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You have a free evening. You choose Option A.

What is the opportunity cost?



Option A: Study



Option B: Movies



Option C: Park

OPPORTUNITY COST

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What is the opportunity cost?



Option A: Study



Option B: Movies



Option C: Park

Answer

Let's assume you like the movies more. Then, the opportunity cost of studying is the **value of going to the movies** (Option B)—the next best alternative you gave up, not all alternatives combined.

“FREE” THINGS

Question

A friend invites Maya to a **free** outdoor concert—three hours, no admission fee.

Instead, she could work her shift at the café ($\$12/\text{hr} \times 3 \text{ hrs} = \36).

Assume there are no costs to her working there (e.g. bus tickets). What is her opportunity cost?

Discuss with your group for 30 seconds ...

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Answer

The “free” concert costs Maya **\$36** in foregone earnings.

“Free” is one of the most misleading words in everyday life. When something costs no money, it almost always costs **time**—and time has value.

Discuss with your group for 30 seconds ...

DIRECT VS OPPORTUNITY COSTS

Question

Maya goes to a movie. Ticket: \$14. Snacks: \$9. Three hours—she could have earned \$36.

- What is the direct cost of the movie?
- What is the opportunity cost?

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Answer

Direct cost = $\$14 + \$9 = \$23$

Opportunity cost = $\$14 + \$9 + \$36 =$
\$59.

Real decisions combine **direct costs** (what you pay out of pocket) and the value of what you give up. The total is the **opportunity cost**.

MAKING GOOD CHOICES

Answer

A “good” economic choice is one where the **benefits** are greater than the **opportunity cost**.

- List what you gain.
- List what you give up.
- Compare—and choose.

Let's practice this for the college example!

REAL WORLD EXAMPLE: COLLEGE VS. FULL-TIME WORK

Question

After high school, Maya considers college vs. starting full-time work.

- Tuition: \$20,000/year.
- Foregone wages from a full-time job: \$35,000/year.

What is the opportunity cost of one year of college?

The opportunity cost combines **direct costs** (tuition) and **foregone earnings** you give up.

COLLEGE VS. FULL-TIME WORK

After high school, Maya considers college vs. starting full-time work.

	College	No College (work full-time)
Value of college experience	\$10,000	—
Earnings (first 5 yrs)	\$0	\$40,000/yr
Tuition (first 5 yrs)	\$20,000/yr	—
Earnings (next 35 yrs)	\$100,000/yr	\$70,000/yr

Compute the benefits of going to college, and the opportunity cost. What is the net value? Check with your group.

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Earnings (next 35 yrs)	\$100,000/yr	\$70,000/yr
Bottom line (40 yrs)	\$3,410,000	\$2,650,000

$$\text{Net value of college} = \$3,410,000 - \$2,650,000 = \$760,000 > 0$$

Going to college helps earn more in the long run!

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WHAT IS A SUNK COST?

Sunk Cost

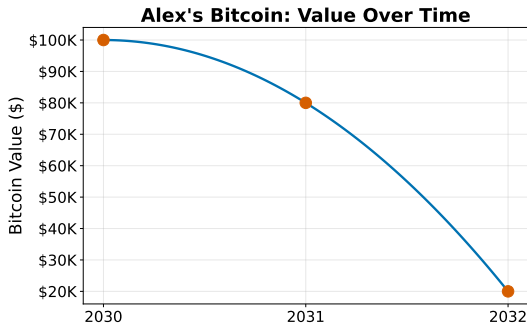
A cost you **cannot recover**— e.g, money, time, or effort already spent and gone forever.

Everyday examples:

- You've waited 20 minutes in a terrible line.
- You paid \$15 for a movie that's awful.
- You bought an expensive gym membership you never use.

ALEX'S BITCOIN STORY

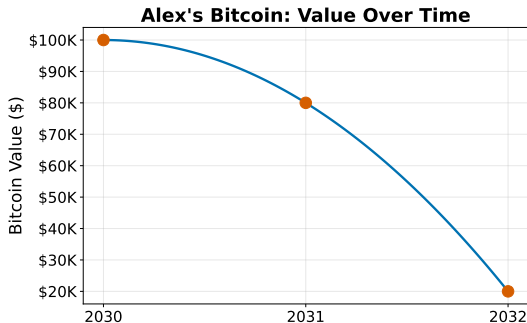
- Alex buys a Bitcoin at \$100,000 per coin.
- Bitcoin crashes to \$20,000.
That's a **\$80,000 loss**, or -80% of initial value!
- Alex thinks: *"I can't sell now—I'd lock in the loss! If I hold on, maybe it'll go back up."*



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The \$80,000 loss **already happened**. Whether Alex sells or holds, that money is gone. The real question is about the future.



THE SUNK COST FALLACY

Sunk Cost Fallacy

Letting past, unrecoverable costs influence your **future** decisions—staying on a path just because you've already invested in it, even when it no longer makes sense.

Classic sign:

"I can't stop now—I've already put so much time/money into this!"

The time and money are **already gone** whether you stay or leave. The only question that matters is: *What should I do from here?*

THE RIGHT QUESTION TO ASK

The Reframe: “If I had \$20,000 in cash right now—would I buy Bitcoin with it?”

If YES → Hold

You believe Bitcoin will grow from here. Holding is based on the **future**, not the past.

If NO → Sell

You're only holding because of the past. That's the sunk cost fallacy.

HOW TO AVOID THE SUNK COST FALLACY

1. **Ignore the sunk costs**—what you've already spent and cannot recover.
2. **Look at what you have now**—what are your current options *today*?
3. **Decide fresh**—base your choice only on future costs and benefits.

This applies to everything: bad movies, classes you hate, relationships, business projects, gym memberships.

“If you find yourself in a hole, the first thing to do is **stop digging**.”

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LET'S APPLY OUR TOOLS

We've learned three concepts today:

- **Opportunity cost**—what you give up
- **Sunk cost**—what's already gone
- **Sunk cost fallacy**—letting the past trap you

Now let's put them to work on a **real policy question** that affects your school directly.

Should phones be banned in Connecticut schools?



Photo: Unsplash (free license)

THE PHONE BAN DEBATE

Should phones be banned in schools?



[Click to watch the video](#)

THE POLICY: HB 5035

What it requires:

- **Bell-to-bell** phone ban in all CT public schools
- Students may bring phones but must store them (backpack, locker, or Yondr pouch—district chooses)

Cost & funding:

- New Haven pilot: **\$375,000** for Yondr pouches (5,800 students, 10 schools)
- **≈ \$65 per student** if pouches are used
- Funded by **school districts** (no dedicated state funding in the bill)

POLICY DEBATE

Question

Economic analysis: Is a “phone-free school day” a good policy?

Three stakeholder groups will analyze the question:

- Students
- Teachers
- Government officials

Your Task: For your assigned group, answer:

1. What are the **benefits** of the policy?
2. What are the **opportunity costs** of the policy?
3. What is your **policy stance**? Would you support the ban?

STAKEHOLDER ANALYSIS: STUDENTS

Benefits

- Fewer distractions → better focus and grades
- More face-to-face socializing
- Reduced cyberbullying during school hours
- Less social media pressure

Sunk Costs

- Money already spent on phones and data plans—still paying even if phone is locked away all day

Opportunity Costs

- Can't contact parents in emergencies
- Lose phone as learning tool (research, calculator, translation)
- Miss time-sensitive messages
- Losing autonomy

STAKEHOLDER ANALYSIS: TEACHERS

Benefits

- Less time policing phone use → more time teaching
- Students more engaged and participatory
- Easier classroom management
- Better student-teacher interaction

Opportunity Costs

- Can't use phones for in-class activities (polls, Kahoot)
- Time spent enforcing the ban
- May need to provide alternative devices for digital assignments

Sunk Costs

- Schools that already invested in phone-friendly teaching tools and curricula now can't use them

STAKEHOLDER ANALYSIS: GOVERNMENT OFFICIALS

Benefits

- Addresses youth mental health crisis
- Strong bipartisan support (117–31 vote)
- Signals responsiveness to parent concerns
- Potential improvement in statewide test scores

Sunk Costs

- Districts that already invested in their own phone policies (signage, training)—that spending is gone regardless of HB 5035

Opportunity Costs

- Budget spent on pouches (~\$65/student) instead of textbooks, counselors
- Political cost if enforcement fails
- Staff time redirected to enforcement

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TODAY'S KEY TAKEAWAYS

- Opportunity Cost** The value of the **next best alternative** when you make a choice.
- Sunk Cost** A cost you **cannot recover**—money, time, or effort already spent.
- Sunk Cost Fallacy** Considering sunk costs when deciding about the **future**—staying on a path only because of what you've already invested.

Good economic thinking: Compare benefits and opportunity costs. Ignore sunk costs. Decide based on what matters *going forward*.